

Plug Any Spending Leaks

Most spending leaks are the result of impulse buying and frittering away cash in small amounts, which add up by month's end. Impulse spending, or buying things you don't realize you need until you see them, is often the result of powerful advertising messages that are so appealing that you buy things you don't need and often end up not using. Why let advertisers influence your decision-making?

Plan all purchases and don't buy anything that wasn't part of your plan. If there's something you feel you really must have, think about it for at least two days and if you still feel compelled to buy it, do a little comparison shopping first so you don't overpay. Then plan on how you're going to cover the cost by reducing another expense in your budget for the month.

The Small Leaks

Grocery shopping is one area ripe for cost cutting. Do you buy a lot of prepared foods instead of doing the cooking yourself? There's a trade-off between the cost and the convenience of prepared foods when you're too busy to cook. Snacks are another expensive item, especially if you buy the serving-size packages to include in the kids' school lunches. Consider buying bulk and using baggies. Buy generic brands. Use coupons.



ESSENTIAL

Shop for long-distance telephone deals twice a year. Long-distance companies are constantly changing their plans, and you could save a chunk of change if you make a lot of long-distance calls. Be sure to read the fine print and ask specific questions.
